

COMMERCIAL PROPERTY INSURANCE POLICY WORDING

Synthetic benchmark document for XO compiler/runtime testing

Policy Form: CP-100 | Policy Period: 1 January 2026 to 31 December 2026 | Jurisdiction: India

IMPORTANT: This is an intentionally synthetic test policy. It is not an actual insurance contract and must not be used for insurance decisions.

1. Definitions

- 1.1 Insured Property means buildings, machinery, stock, furniture, fixtures and other property described in the Schedule.
- 1.2 Claim means a written demand for payment under this Policy arising from an insured loss.
- 1.3 Business Hours means 9:00 a.m. to 6:00 p.m. on a Business Day.
- 1.4 Deductible means the amount stated in the Schedule that the Insured must bear for each covered occurrence.

2. Coverage

- 2.1 Subject to the terms, conditions and exclusions of this Policy, the Insurer will indemnify the Insured for direct physical loss of or damage to Insured Property caused by an insured peril.
- 2.2 Cover is available only where the affected property is listed in the Schedule.
- 2.3 The maximum amount payable for any one occurrence is the applicable Sum Insured shown in the Schedule.
- 2.4 If the claim amount exceeds INR 10,000, the claim requires manager approval before settlement.
- 2.5 If the claim amount exceeds the applicable Sum Insured, the amount payable shall not exceed the Sum Insured.

3. Deductibles and Limits

- 3.1 A deductible of INR 25,000 applies to each covered occurrence unless the Schedule specifies a higher deductible.
- 3.2 For theft losses, a deductible of INR 50,000 applies to each occurrence.
- 3.3 For water damage, the maximum payable amount is INR 500,000 for any one occurrence.
- 3.4 The aggregate limit for temporary storage expenses is INR 200,000 during the Policy Period.
- 3.5 No payment shall be made for the portion of a covered loss that falls within the applicable deductible.

4. Conditions and Prerequisites

- 4.1 The Insured must notify the Insurer of a loss within 7 days after becoming aware of the loss.
- 4.2 Subject to satisfactory proof of loss, the Insurer will process the claim.
- 4.3 The Insured must provide the completed claim form, photographs of the damage and supporting invoices.
- 4.4 The Insured must take reasonable steps to prevent further damage after an insured event.
- 4.5 Claims submitted after 30 days may be denied unless the Insurer accepts the delay in writing.
- 4.6 Only claims supported by the required documentation may proceed to final settlement.
- 4.7 Before settlement, the Insurer may require an inspection of the affected property.

5. Exclusions

- 5.1 Flood damage is excluded.
- 5.2 Loss caused solely by ordinary wear and tear is not covered.
- 5.3 Damage caused by intentional acts of the Insured is excluded.
- 5.4 Terrorism cover is excluded unless specifically added by endorsement.
- 5.5 Loss arising from nuclear contamination is not covered.
- 5.6 Consequential loss is excluded unless business interruption cover is expressly included in the Schedule.
- 5.7 Warranted that all fire extinguishing equipment is maintained in working order.
- 5.8 Warranted that combustible waste is removed from the insured premises at the end of each working day.

6. Claims Procedure

- 6.1 The Insured must report suspected theft to the police as soon as reasonably practicable.
- 6.2 The Insured must preserve damaged property for inspection unless doing so would increase the risk of further damage.
- 6.3 The Insurer may appoint a loss adjuster to assess the claim.
- 6.4 If any information provided in the claim is materially incorrect, the claim may be rejected.

6.5 The policy is not valid for a claim, if any of the information provided in the proposal was materially incorrect.

6.6 Before payment is released, all required approvals must be recorded in the claim file.

7. Decision Rules

7.1 If the claim amount is greater than INR 10,000 and all required documents are present, manager approval is required.

7.2 If the claim amount is greater than INR 100,000, a loss-adjuster assessment is required before settlement.

7.3 If the claim amount is less than or equal to INR 10,000 and all required documents are present, manager approval is not required.

7.4 Only claims with an active Policy may be considered for settlement.

7.5 A claim may be settled only if the loss is covered and the applicable deductible has been applied.

7.6 If the policy has expired before the date of loss, the claim must be referred for coverage review.

7.7 When the loss type is flood, the claim must be denied unless a flood endorsement is recorded.

7.8 When the loss type is theft, the police report must be present before final settlement.

8. Dates and Time Rules

8.1 A claim notification received within 7 calendar days of the reported loss date satisfies the notification requirement.

8.2 A claim notification received more than 7 calendar days after the reported loss date does not satisfy the standard notification requirement.

8.3 The Policy Period begins on 1 January 2026 and ends on 31 December 2026.

8.4 A loss occurring outside the Policy Period is not covered unless an applicable endorsement provides otherwise.

9. Operational Actions

9.1 When manager approval is required, the claim must be routed to an authorized manager.

9.2 When a loss-adjuster assessment is required, the claim must be assigned to an approved loss adjuster.

9.3 When required documents are missing, the claim must be returned to the claimant with a list of missing documents.

9.4 When a claim is denied, the system must record the denial reason and the policy clause supporting the decision.

9.5 When a claim is approved for settlement, the settlement amount must be recorded before payment authorization.

10. Ambiguous and Semantic Provisions

10.1 The Insurer may consider whether damage was reasonably foreseeable when assessing unusual circumstances surrounding a loss.

10.2 The Insurer may request additional information where the circumstances of the loss appear inconsistent with the information previously provided.

10.3 The Insurer will assess whether reasonable precautions were taken having regard to the nature of the premises and the circumstances of the event.

10.4 Where a loss appears suspicious, the claim may be referred for enhanced review.

10.5 The meaning of reasonable precautions shall be determined having regard to the circumstances of each individual loss.

11. Compound Rules

11.1 If the Policy is active, the loss occurs during the Policy Period, the property is scheduled, and the loss is not excluded, the claim may proceed to coverage assessment.

11.2 If the claim amount exceeds INR 100,000 and the loss is covered, both manager approval and loss-adjuster assessment are required.

11.3 If the claim amount exceeds INR 10,000 but does not exceed INR 100,000, manager approval is required but loss-adjuster assessment is not required solely because of the claim amount.

11.4 If required documents are missing or the policy is inactive, the claim must not proceed to final settlement.

11.5 If a flood endorsement is present and the loss is caused by flood, the standard flood exclusion does not apply to the extent provided by that endorsement.

12. Schedule

Named Insured: Example Manufacturing Pvt. Ltd.

Property Location: Mumbai, Maharashtra

Sum Insured - Building: INR 20,000,000

Sum Insured - Machinery: INR 10,000,000
Sum Insured - Stock: INR 5,000,000
Standard Deductible: INR 25,000
Theft Deductible: INR 50,000
Water Damage Limit: INR 500,000
Temporary Storage Aggregate Limit: INR 200,000
Flood Endorsement: Not Included
Business Interruption Cover: Included

Appendix A - Suggested Benchmark Inputs

Case A: claim_amount = INR 15,000; policy active; documents complete -> manager approval required.
Case B: claim_amount = INR 5,000; policy active; documents complete -> manager approval not required.
Case C: claim_amount = INR 150,000; covered loss -> manager and loss-adjuster assessment.
Case D: loss_type = flood; no flood endorsement -> denied / excluded.
Case E: loss_type = theft; police report absent -> cannot reach final settlement.
Case F: notification = 5 days after loss -> notification requirement satisfied.
Case G: notification = 12 days after loss -> standard notification requirement not satisfied.
Case H: policy expired before loss -> coverage review / not covered under standard rule.

Benchmark intent: deterministic thresholds, comparisons, dates, exclusions, prerequisites, compound conditions, mandatory actions, and semantic provisions are deliberately mixed so XO can distinguish local executable capabilities from model-assisted interpretation.